
UNIT 18 TRADE POLICY

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18.0 OBJECTIVES

After going through this unit, you will be able to:

- discuss the characteristics of International trade and in particular about the Indian trade prior and post 1991;
- identify the instruments of a trade policy;
- appreciate the trade policy of developing economies;
- point out the emerging foreign trade issues in the changing nature of world trade;
- explain the role of the FDI policy in India; and
- evaluate the Foreign Trade Policy 2015-20.

18.1 INTRODUCTION

In this unit we shall discuss the Indian trade policy, its features in pre-economic reforms and post- economic reforms periods. We shall highlight the trade related important issues like trade in services, trade and intellectual property rights, and agriculture and regional trade agreements. The features of the trade policy 2015-2020 and its evaluation will also be discussed. To begin with, let us discuss the concept of international trade policy.

18.2 INTERNATIONAL TRADE POLICY

International trade policies from a country's point of view are those policies which the government adopts towards international trade. These are the policies that involve a number of actions like taxes on international transactions of goods and services, subsidies for other transactions, legal limits on the value and volume of imports and exports and many other measures. Trade policy involves a number of instruments described in the section that follow.

Additionally, there are various international organisations ensuring smooth trade flows between the nations. For instance, the World Trade Organisation (WTO) is a major international organisation that deals with the rules of trade between nations. WTO operates a global system of trade rules, acts as a forum for negotiating trade agreements, settles trade disputes between its members and supports the trade related needs of developing countries. Thus, the goal is to ensure that trade flows are as smooth, predictable and free as possible.

18.3 INSTRUMENTS OF A TRADE POLICY

1) Tariffs

Tariffs are among the oldest forms of trade policy instruments and have traditionally been used as a source of government income. Tariffs can be classified as:

- Specific tariffs– taxes that are levied as a fixed charge for each unit of goods imported.
- Ad-valorem tariffs– Taxes that are levied as a fraction of the value of the imported goods.

A compound duty (tariff) is a combination of an ad-valorem and a specific tariff.

In analysing trade policy in practice, it is important to know how much protection a trade policy actually provides. Protection can be categorised as nominal rate or effective rate of protection. The nominal rate of protection (NRP) on any good is the proportional difference between its domestic and international (or world) price arising from the trade policies in question.

These policies can include import tariffs, export taxes, quantitative restrictions, etc. Thus, NRP is

$$\text{NRP} = (\text{Pd} - \text{Pw}) / \text{Pw} \times 100$$

Where Pd and Pw are the domestic and world price, respectively.

Since trade involves both inputs and outputs, it is important to measure effective rate of protection i.e. one must consider both the effects of tariffs on the final price of a good, and the effects of tariffs on the costs of inputs used in production.

The effective rate of protection is a commonly used measure of net effect of trade policies on the incentives facing domestic producers. In case of a garment producer, for instance, taxes or other restrictions on clothing imports raise domestic clothing prices and are beneficial to domestic producers selling in the local market. On the other hand, a tariff-induced increase in the domestic price of fabric raises garment producers' costs and so is harmful to them. The net impact of trade policies on the producers of any good depends on their effects on prices of both their outputs and their inputs.

One can express the amount of effective protection as a percentage of the price that would prevail under free trade. The actual protection provided by a tariff will not equal the tariff rate if imported intermediate goods are used in the production of the protected good.

Thus, Rate of Effective Protection = $[\text{VT} - \text{VW}] / \text{VW}$ where V is value added at world prices (W) and in presence of trade policies (T).

For example: Suppose a 10 per cent tariff is applied to motorcycles, so that a totally India made motorcycle which originally sold for Rs. 25000 (under free trade) can now sell for Rs 27500 because of the protection from foreign imports. In this calculation, effective protection equals nominal, i.e., 10 per cent. However, suppose imported inputs used in motorcycles were Rs.15000. Then the effective rate of protection is 25 per cent $\{= [(27500 - 15000)/10000] \times 100\}$.

2) Export Subsidies

It is a payment by the government to a firm or individual that ships a good abroad. When the government offers an export subsidy, shippers will export the good up to the point where the domestic price exceeds the foreign price by the amount of the subsidy. It can be either specific or ad valorem. An export subsidy raises prices in the exporting country while it lowers them in the importing country.

3) Import Quotas

An import quota is a direct restriction on the quantity of a good that is imported. The restriction is usually enforced by issuing licenses to some group of individuals or firms i.e. the right to sell in India is given directly to the governments of exporting countries. License holders are able to buy imports and resell them at a higher price in the domestic market. The profits received by the holders of import licenses are known as quota rents.

4) Voluntary Export Restraints

A voluntary export restraint (VER) is an export quota administered by the exporting country. It is also known as a voluntary restraint agreement (VRA). VERs are imposed at the request of the importer and are agreed to by the exporter to forestall other trade restrictions. A VER is exactly like an import quota where the licenses are assigned to foreign governments and is therefore very costly to the importing country. A VER is always more costly to the importing country than a tariff that limits imports by the same amount. The tariff equivalent revenue becomes rents earned by foreigners under the VER.

5) Local Content Requirements

A local content requirement is a regulation that requires that some specified fraction of a final good be produced domestically. This fraction can be specified in physical units or in value terms. Local content laws have been widely used by developing countries trying to shift their manufacturing base from assembly back into intermediate goods. Local content laws do not produce either government revenue or quota rents. Instead, the difference between the prices of imports and domestic goods gets averaged in the final price and is passed on to consumers. Firms are allowed to satisfy their local content requirement by exporting instead of using parts domestically.

Other restrictions are like Export Credit Subsidies (form of a subsidised loan to the buyer of exports, resulting in the same effect as regular export subsidies), National Procurement [purchases by the government (or public firms) can be directed towards domestic goods, even if they are more expensive than imports], Red Tape Barriers (barriers put by the governments based on health, safety and customs procedures).

18.4 INTERNATIONAL TRADE AGREEMENTS: A BRIEF HISTORY

Post-World War II, in order to take full advantage of bilateral and multilateral coordination, a group of 23 countries began trade negotiations under a provisional set of rules that became to be known as the General Agreement on Tariffs and Trade, or GATT. Officially, the GATT was an agreement, not an organisation-the countries participating in the agreement were officially designated as “contracting parties,” not members. In practice, the GATT did maintain a permanent “secretariat” in Geneva, which everyone referred to as “the GATT”. In 1995, the World Trade Organisation (WTO) was established-finally creating the formal organisation envisaged 50 years earlier. However, the GATT rules remain in force, and the basic logic of the system remains the same. Tariffs were the main point of contention among countries. Thus, various trade rounds (wherein, large groups of countries get together to negotiate a set of tariff reductions and other measures to liberalise trade) were conducted to reach a consensus on the tariff issues. The first five trade rounds under the GATT took the form of “parallel” bilateral negotiations, where each country negotiates pair-wise with a number of countries at once. The sixth multilateral trade agreement, known as the Kennedy Round, was

completed in 1967. This agreement involved an across-the-board 50 per cent reduction in tariffs by the major industrial countries, except for specified industries whose tariffs were left unchanged. The so-called Tokyo Round of trade negotiations (completed in 1979) reduced tariffs employing a formula more complex than that used under the Kennedy Round. Finally, in 1994 an eighth round of negotiations, the so-called Uruguay Round was completed. The Uruguay Round, like previous GATT negotiations, cut tariff rates around the world. The average tariff imposed by advanced countries fell almost 40 per cent as a result of the round. More important than this overall tariff reduction were the moves to liberalise trade in two important sectors, agriculture and clothing.

The ninth major round of world trade negotiations, known as the Doha round, began in 2001. Its aim was to achieve major reform of the international trading system, with the fundamental objective to improve the trading prospects of developing countries through the introduction of lower trade barriers and revised trade rules. It ended without the negotiations being completed, resulting in a spurt in bilateral trade agreements.

Check Your Progress 1

- 1) What is the difference between nominal rate of protection and effective rate of protection?

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- 2) What is the idea behind the formation of WTO?

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18.5 TRADE POLICY OF DEVELOPING ECONOMIES

Trade policy in developing countries is concerned with two objectives: promoting industrialisation and coping with the uneven development of the domestic economy. Government policy to promote industrialisation has often been justified by the infant industry argument, which says that new industries need a temporary period of protection against competition from established industries in other countries. Using the infant industry argument as justification, many less-developed countries have pursued policies of *import-substituting industrialisation* in which domestic industries are created under

the protection of tariffs or import quotas. Beginning from about 1985, many developing countries, dissatisfied with the results of import-substitution policies, greatly reduced rates of protection for manufacturing. As a result, developing-country trade grew rapidly, and the share of manufactured goods in exports rose. The results of this policy change in terms of economic development, however, have been, at best, mixed. This idea had been mainly confounded by the Asian Economies including India.

18.6 TRADE POLICY OF INDIA

18.6.1 Prior to 1991

In the post-independence period, prior to 1991, India followed a protectionist approach. The principle objectives of this protectionist policy were to:

- a) stabilise balance of payments,
- b) encourage industrialisation,
- c) fulfil the objectives of self-reliance and self-efficiency,
- d) help in reallocation of resources,
- e) increase employment, and
- f) provide revenue for the government.

The selection of instruments, adopted for achieving the objectives of the protectionist policy, can be classified in two broad groups: (a) tariff and (b) non-tariff measures. These instruments were basically used to bring about changes in price, volume or other parameters relating to tradable commodities and services. In the pre-reform period, India's import and export policy was guided by the Import and Export Control Act of 1947. In 1977, two additional orders, viz. the Import Control Order and Export Control Order, were introduced and the subsequent annual policy of imports and exports was based on these legislations. A long-term trade policy, for three years, was announced in 1985 by the government and some concrete steps towards liberalisation were taken within the framework of economic reforms.

In the pre-reform period, India's trade policy regime was complex and cumbersome. There were different categories of importers, different types of import licences, alternate ways of importing, etc. Different types of licenses, that used to be issued in the pre-reform period, can be categorised as: (a) Open General License, (b) Automatic License, (c) Supplementary Import License and (d) Imports through government-owned canalised agencies. The trade policy was geared towards developing a self-reliant production structure. There were high tariffs on imports. The intention of high tariffs was to promote domestic production, by making imported goods more expensive than those produced at home. This is what is called import substitution. Apart from import duties, there were various permissions required before importing something. Importing a computer, for instance, required many licenses and permissions. The central government would decide on imports, depending on its assessment of its importance for the national economy.

Import substitution had its other side - that of discouraging exports. There was no active policy of discouraging exports. But import tariffs meant that the profits from investing in import substituting production were higher from investing in production for export. Assuming that costs of production were not substantially higher in India, the profits would also be greater. In exports, on the other hand, Indian producers would have to compete with producers from other countries and there would be no excess profits for them. Thus, the policy of high import tariffs served to discourage investment in exports. In a way, high import tariffs distorted market price signals away from exports towards import substitution.

Economic policies are not just manufactured out of thin air. They are inevitably based on some theory of how the economy functions. What was the theory behind such a control on imports? The theory goes back right to the beginnings of plan development in India and was part of the formulation of the Second Five Year Plan (1961-65). The theory goes by the name of 'export pessimism'.

Export Pessimism

In the post-colonial situation of the 1950s, it was held that the export earnings of underdeveloped countries were subject to severe constraints. World manufacturing was concentrated in the industrialised or developed countries, while the underdeveloped countries were largely agrarian in nature. The structure of world trade reflected this division of the world economy. Underdeveloped countries exported raw materials and primary goods, such as coffee, tea, raw cotton, or minerals. Developed countries exported manufactured products. World trade was an exchange of the manufacturer of industrialised countries with the agricultural and primary goods of agrarian and primary commodities producing countries.

Manufactured goods are produced by companies, often large companies. With monopolistic market positions, these companies could determine the prices of their outputs, i.e. they were price-makers. Agricultural commodities are produced by large numbers of small producers. These small producers do not have market power and cannot set prices for their products, i.e. they are price-takers. On the other hand, the buyers of agricultural commodities from the developed countries are few in number. This is called a monopsony position, where there are just one or a few buyers along with a large number of sellers for a product. The buyer or buyers can then be price-makers for that primary commodity. The price of, say, coffee could be kept low and thus the returns to the millions of primary commodity producers would also be low.

We need to add a third dimension to the structure of world trade to complete this picture. That is the control of key mineral resources by the Multinational Corporations (or MNCs), sometimes also called Trans-national Corporations (TNCs) of the industrialised economies. The MNCs had operations in more than one country, and they controlled much of the mineral and raw material resources of the developing countries. The classic example of this control was that of crude oil, mainly produced in West Asia, but controlled by the Anglo-American oil majors. The result of this control of crude oil was that

the oil majors could keep the price of crude oil low and give a small royalty to the governments of the supplying countries.

The role of under-developed countries in world trade was then to export agricultural commodities or minerals, non-manufactured goods of various kinds. In a competitive market, with a relatively fixed demand for agricultural commodities, an increase in production is likely to result in a fall in the price. Thus, even with an increase in production of the agricultural commodity, there may not be an increase in export earnings since prices may fall.

Suppose there was a productivity increase by the farmers of coffee adopting more productive methods. Would the benefits of increased productivity not accrue to the producers? This would happen only if a few producers (progressive farmers) alone adopted the improved technology while the bulk of the farmers did not. Then, the progressive farmers would get the benefit of higher productivity. Their costs of production would go down. With a constant price, the higher productivity of the progressive farmers would give them higher export earnings. But productivity improvements by farmers can easily spread beyond a group or even country. If all the producers of coffee adopt the improved practice, then the monopsony buyer could use competition among sellers to bring the price down. The premium for increased productivity would then go to the buyers from the developed countries, who may or may not pass on the benefits to consumers in their own countries. On the other hand, the MNC producers of industrialised countries did not have to pass on the benefits of increased productivity. Their monopoly positions allowed them to set prices of manufactures.

The implication of the above two propositions is that the terms of trade (i.e. ratio of prices of what a country sells to the prices of what it buys, or of primary goods' prices to manufactured goods' prices) for under-developed countries' would deteriorate. This, in brief, was the powerful analysis on what is known as the Prebisch-Singer hypothesis. This was the understanding of export pessimism - that there was a strict limit to what an under-developed country could earn in the export market.

The other side of export pessimism was import rationing. Since India needed to develop its own industries, it needed scarce foreign exchange to be used mainly for importing equipment and machinery for industries. In times of food scarcity, food may also need to be imported. In this situation the limited foreign exchange earnings needed to be rationed, with the government and not players on the market deciding on what to import and what not to import on the basis of relative prices. Among all commodities that it was economically profitable to import, the government would decide on the most important uses of the limited foreign exchange.

Export pessimism and import controls thus characterised Indian trade policy in the early decades after Independence. It began to change in the mid-1980s and was abandoned with the 1991 liberalisation.

18.6.2 Post 1991

The 1991 trade policy reforms were precipitated by the external debt crisis the government faced. At that time, the Indian government did not have sufficient foreign exchange to cover the external debt payments that were due. In order to avoid defaulting on its international debt obligations, the government was forced to approach the International Monetary Fund (IMF) for a loan.

Trade policy reform, focusing on tariffs and quantitative restrictions, was an important part of the economic reform initiated in 1991. Supplemented by recommendations of an Expert Committee, India's trade policy reform paved the road for a major reduction of average tariffs, tariff peaks, simplification of the tariff and quota regimes, and removal of several import restrictions. These changes reflected a larger vision of reform to enhance the efficiency of domestic industry, together with a number of other objectives such as promoting infant industry, exports, technological upgradation and food security.

The 1991 Union Budget recognised the significance of trade policy reform as part of the overall reform programme, stating for instance that: "The policies for industrial development are intimately related to policies for trade" (Para 11 of Union Budget speech). Several steps were taken to reform trade policy: a more outward oriented regime was put in place, tariffs were reduced in a phased manner, import duties were streamlined or simplified, and a process transforming quantitative border restrictions to price-based measures was begun.

Likewise, export incentives were continued, or new ones provided for a number of products, and institutional changes were made to bring transparency and to facilitate transactions involving domestic and foreign markets. This included the establishment of certain institutions or revised mandates for existing institutions that would help implement the new focus areas (e.g., the Tariff Commission).

Further, 1991 trade policy reform was an exercise that balanced several objectives. For instance, loss of revenue was a major concern, and this was mentioned as a reason for not reducing the import duty more than what was being announced. In a number of instances, import tariffs were kept high to encourage infant industry. The need for protecting Indian industry against foreign competition, and to save foreign exchange, was explicitly recognised. This was balanced with a reduction in tariffs to lower input costs and to encourage export activities. Another important feature of the 1991 reform was that it began opening up the regime for FDI. While FDI was not linked at that time with trade policy, it created a base for increasing economic linkages with global markets.

Average tariff levels prior to 1991 were in triple digits. The 1991 tariff reform reduced these very significantly, but the new levels too were very high at the end of the 1990s. A noteworthy feature of India's tariff peaks and averages in the early 1990s was that though they were reduced from high

levels, they were high (particularly for non-agriculture) compared with most tariffs prevailing in economies with low tariffs, e.g. the United States. Before 1991, India imposed high auxiliary duties on imports. These were merged with basic tariffs and the overall combined tariff level.

18.6.3 FDI Policy in India

At the time of independence, policy towards FDI was largely conditioned by two factors: the Industrial Policy Resolution of 1948 and 1956, and the foreign exchange crisis, especially in the late fifties. However, in 1969 a more precise policy towards FDI was evolved. This consisted of setting out three groups of industries where (i) there would be FDI without technical collaboration (ii) only technical collaboration and (iii) no foreign participation. Second, the foreign exchange crisis precipitated the Foreign Exchange Regulation Act (FERA) particularly Article 29 which specified that any foreign owned firm with more than 40 per cent of equity held abroad had to apply to the Reserve Bank of India for approval in cases relating to expansion, mergers, purchase of shares in other firms, etc. FERA came into force in 1974 and all applications had been dealt with by 1979.

A more liberal attitude towards foreign investment emerged after about 1980 or so. This phase begins with the Industrial Policy statements of 1980 and 1982 and, more importantly the Technology Policy Statement of 1983. For one, the policy statements began the process of delicensing. The New Industrial Policy of 1991 was the starting point of a new phase in FDI in India. Thus, with the new FDI policy up to 51 per cent foreign equity was permitted with automatic approval in specified industries producing intermediate and capital goods. Economic reforms post 1991 had encouraged foreign investment as well as foreign collaborations. The dominant policy at that time was export oriented FDI and restrictions on large volume of FDI in the form of equity.

In 1995, India had reoriented its FDI policy. This is because India signed the Uruguay Agreement in 1995 which made it a member of the World Trade Organisation (WTO) and hence an automatic signatory to the agreement on trade related investment measures (TRIMS). A series of measures that were directed towards liberalising foreign investment included: (i) introduction of dual route of approval of FDI – RBI's automatic route and Government's approval [Secretariat of Industrial Assistance (SIA)/ Foreign Investment Promotion Board (FIPB)] route, (ii) automatic permission for technology agreements in high priority industries and removal of restriction of FDI in low technology areas as well as liberalisation of technology imports, (iii) permission to Non-resident Indians (NRIs) and Overseas Corporate Bodies (OCBs) to invest up to 100 per cent in high priorities sectors, (iv) hike in the foreign equity participation limits to 51 per cent for existing companies and liberalisation of the use of foreign 'brands name' and (v) signing the Convention of Multilateral Investment Guarantee Agency (MIGA) for protection of foreign investments. In order to give a fillip to combat decline in FDI post Asian Crisis in 1997, several measures were taken by the government to further liberalise FDI policies. Measures included were